A CONSULTING BRIEF

Manufacturing, Cash-Flow & Go-to-Market Strategy

Prepared for: Meher Anand, Founder — Kavaan

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Independent strategic Approach — not affiliated with any other company.

Executive summary

The Recommendation

Do not switch to Factory B yet, and do not produce all 18 SKUs. Instead, validate demand publicly on Instagram through content and paid ads, collect refundable ₹500 deposits to confirm real intent, and produce only the SKUs that clear a demand threshold in a small bridge batch with Atelier A. This avoids the pattern-redevelopment cost, fits inside the ₹6 lakh budget with room to spare, and converts customers into a funding source rather than a risk.

This report addresses four linked problems raised in the founder brief: the manufacturer-switch trap, the MOQ-versus-cash conflict, the absence of markdown planning, and the absence of a turnover target. The solution below treats all four as one system, not four separate fixes, the Instagram content-to-sale pipeline is the mechanism that solves all four simultaneously.

The four problems, restated

- **Manufacturer switch**
  Factory B did not develop the original patterns switching forces a costly, time-consuming re-development cycle.
- **MOQ vs. cash**
  Factory B requires 300 units per style × 18 styles (5,400 units) far beyond the ₹6L budget and unproven demand.
- **No markdown planning**
  Pricing assumed full-price sell-through; no allowance built in for the 30–70% of stock that typically clears at a discount.
- **No turnover target**
  No defined pace for how fast stock should sell, so there is no early-warning signal if inventory is moving too slowly.

Strategic Frameworks Applied

Three frameworks are used together: Blue Ocean Strategy to define what Kavaan should compete on, the AIDA funnel to structure the Instagram content-to-sale journey, and McKinsey's Three Horizons to sequence the rollout so risk is taken in stages, not all at once.

Blue Ocean Strategy — the ERRC Grid

The ERRC Grid (Eliminate–Reduce–Raise–Create) forces a clear choice about what Kavaan competes on, instead of competing on every dimension the "red ocean" of mass ethnic-wear retailers already fights over.

Action	Detail
ELIMINATE	Elastic-only waist construction · guesswork sizing · committing to bulk production before demand is proven
REDUCE	Upfront capital exposure · SKU count at first production run · reliance on heavy embellishment to justify price
RAISE	Fit precision (pattern-engineered, not scaled) · transparency with customers (pre-order storytelling) · speed from validation to delivery
CREATE	A pre-order-to-production pipeline · deposit-validated SKU selection · a public design-journey narrative customers feel part of

AIDA Funnel — mapped to the Instagram strategy

Stage	Content Job	Format	Metric
Awareness	Introduce the design story - why this silhouette, why this fit philosophy	Short-form reel: founder or model wearing the sample, voiceover on the 'why'	Reach, views
Interest	Show the craft - fabric, construction, the fit-engineering USP	Behind-the-scenes reel/carousel: darting diagram, fabric close-ups	Saves, shares
Desire	Build social proof - real reactions, styling versatility	Comments-reaction reel, styling-it-3-ways carousel	Comments, DMs
Action	Convert interest into a funded commitment	"Reserve yours - link in bio" CTA, limited pre-order window	Deposits paid

McKinsey Three Horizons — sequencing the rollout

The Three Horizons model prevents the founder from trying to solve everything at once — it stages risk instead of taking it all in one bulk order.

Horizon	Focus	What Happens
Horizon 1 (Weeks 1–3)	Validate	Instagram content + Meta ads on existing Atelier A samples. Collect refundable ₹500 deposits. No new production spend.
Horizon 2 (Weeks 4–10)	Bridge	Produce only validated SKUs in a small batch with Atelier A (demand + 20% buffer). Fulfil pre-orders.
Horizon 3 (Month 4+)	Scale	Only once a style consistently sells through its Atelier A batch does it graduate to a Factory B bulk run — the redevelopment cost is now justified by proven, repeatable demand.

The solution: content → hype → sell

- **Phase 1 — Content & Awareness (Week 1)**
  Founder or a model wears each of the 4 completed silhouette samples in short story-driven reels, posted natively on the new professional Instagram account. No paid spend yet organic-only, to seed the account before ads point traffic at it.

- **Phase 2 — Hype & Paid Validation (Weeks 2–3)**
  Run Meta ads (₹15,000–₹20,000 test budget) behind the strongest organic reel. Every CTA drives to a "Reserve Yours" payment link collecting a refundable ₹500 deposit per style deposits are tracked by SKU, since a deposit is real intent, a like is not.

- **Phase 3 — The Selection Rule (End of Week 3)**
  A demand threshold (40 deposits minimum per style) is set before the campaign starts. Only styles clearing it move to production; the rest are paused and fully refunded this is what actually solves the MOQ problem.

- **Phase 4 — Bridge Production (Weeks 4–7)**
  Only validated styles go to Atelier A, no re-patterning cost, no restart delay. Production quantity = confirmed pre-orders + 20% buffer, paid in stages (deposit to begin cutting, balance on completion).

- **Phase 5 — Fulfilment & Communication (Weeks 7–10)**
  Customers are told delivery is 3–4 weeks before they pay. The balance (price minus ₹500 deposit) is collected at dispatch, protecting cash flow. Buffer stock is sold via ongoing content once the batch arrives.

The Financial Plan

Cost per piece, by silhouette family (Atelier A):

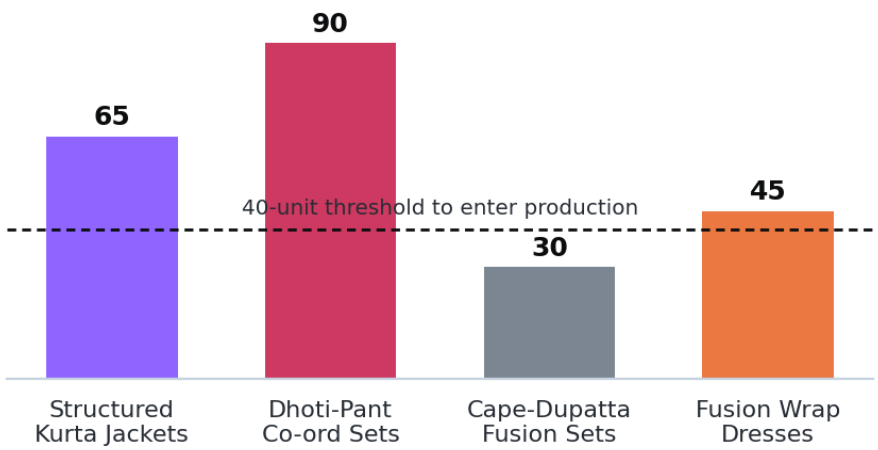
Silhouette Family	Cost/Piece	Selling Price	Contribution Margin	Margin %
Structured Kurta Jackets	₹800	₹1,999	₹1,199	60%
Dhoti-Pant Co-ord Sets	₹950	₹2,499	₹1,549	62%
Cape-Dupatta Fusion Sets	₹1,600	₹3,999	₹2,399	60%
Fusion Wrap Dresses	₹1,800	₹4,499	₹2,699	60%

Break-even

Fixed costs (Meta ads ₹30,000 + packaging ₹8,000 + content production ₹5,000) total ₹43,000. Using a blended contribution margin of ₹1,694/piece, break-even = 43,000 ÷ 1,694 ≈ 26 units. With a 40-deposit-per-style threshold across 3–4 styles, break-even happens well before production even begins.

Worked example illustrative campaign results

Family	Deposits	Passes 40-unit threshold?	Production Qty (demand +20%)
Structured Kurta Jackets	65	Yes	80
Dhoti-Pant Co-ord Sets	90	Yes	110
Cape-Dupatta Fusion Sets	30	No — paused this cycle	0
Fusion Wrap Dresses	45	Yes	55



Deposits collected by SKU family against the 40-unit production threshold.

Budget vs. total production cost

Item	Amount
Total bridge production (245 units)	₹2,67,500
Fixed costs (ads, packaging, content)	₹43,000
Total cash needed	₹3,10,500
Cash already collected via deposits (200 × ₹500)	− ₹1,00,000
Founder's own capital actually at risk	₹2,10,500

The core insight

Out of a ₹6,00,000 budget, this plan only puts ₹2,10,500 of the founder's own money at risk at any single point versus the original plan, which risked the full budget against an unproven 5,400-unit commitment. Customer deposits do part of the funding work.

Expected revenue & profit

Item	Amount
Revenue from 200 pre-ordered units	₹5,57,300
Revenue from 45 buffer units (sold post-launch)	₹1,24,955
Total expected revenue	₹6,82,255
Total cost (production + fixed costs)	− ₹3,10,500
Net profit (approx.)	₹3,71,755
Gross margin	~61%

Turnover target

Healthy fashion brands run inventory turnover at 6–12x per year. This batch (245 units, ₹2,67,500 cost) is planned to sell through in one quarter: (₹2,67,500 × 4) ÷ ₹1,33,750 average inventory ≈ 8.0x annualised comfortably inside the healthy range, confirming the batch is scaled to demand, not overproduced.

Markdown safety net

Markdown risk is confined to the 45-unit buffer (~18% of the batch) the 200 pre-ordered units are already sold and carry no markdown risk. Worst-case markdown exposure = 45 × ₹2,787 × 50% ≈ ₹62,700, and the plan stays solidly profitable even in that case.

Returns policy fit-first design

Return Reason	Policy	Rationale
Size doesn't match the published measurement chart	Free exchange or full refund, no fee	Protects the brand's fit-accuracy promise Kavaan's core differentiator, unconditionally honoured.
Change of mind / preference-based (colour, styling)	Small restocking fee (₹150–₹200), disclosed at checkout	Covers packaging/logistics cost without penalising the customer harshly; fully transparent before purchase.
Defect or production issue	Free return, full refund, no fee under any circumstance	The brand's error should never cost the customer anything.

Key risks & mitigation

Risk	Mitigation
Campaign underperforms; too few deposits	No capital is lost deposits are refunded, and the design/content angle is revised for a second cycle. This is the entire point of validating before producing.
Atelier A can't meet the bridge-batch timeline	Confirm production lead time and staged-payment terms in writing before launching the campaign, not after deposits are collected.
Customers frustrated by 3–4 week wait	Set the expectation explicitly at the point of pre-order, with regular WhatsApp/email updates during production.
Deposit-collection platform / payment friction	Use a simple, trusted Indian payment-link tool (Razorpay Payment Pages or Instamojo) no custom app needed at this stage.

90-day roadmap

Weeks	Milestone	Owner
1	Launch new Instagram account; post organic content on all 4 samples	Meher
2–3	Run Meta ads; collect deposits; track per-style demand	Meher + ad support
3 (end)	Apply the 40-deposit threshold; confirm which styles proceed	Meher
4	Place bridge order with Atelier A (staged payment)	Meher
4–7	Production at Atelier A; customer updates sent weekly	Atelier A / Meher
7–8	Dispatch; collect balance payments; buffer stock goes live for new sales	Meher
8–12	Monitor sell-through of buffer stock; track turnover pace vs. 8x target	Meher
12+	Review: which styles are ready to graduate to a Factory B bulk run	Meher + Consultant

Bottom line

This plan replaces a single high-risk, high-capital bet (5,400 units, full budget exposure, restart cost) with a staged, customer-funded validation cycle. Every number in the financial plan can be rebuilt on a spreadsheet with real campaign results once the first cycle runs the structure stays the same.

THANK YOU

This plan is designed to be a working document. We recommend a check-in at the end of each phase validation, bridge production, and fulfilment to review results against the targets above and adjust scope before moving forward.

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